

FUNDAMENTALS OF ENTREPRENEURSHIP

MCS 472

Charlotte Adjanor-Doku, PhD

**Department of Human Resource & Organisational
Development**

KNUST School of Business

cadjanor-doku@knust.edu.gh

Follow me on 



COURSE OBJECTIVES

The aim of this course is to introduce students to the state of entrepreneurship in Ghana, providing insight into:

- 1) the significance of entrepreneurship in Ghana,
- 2) entrepreneurial processes - from finding and evaluating good business opportunities to new venture start-up and growth issues, and
- 3) entrepreneurial behaviour, a critical success factor in new venture creation



COURSE OUTLINE

The module will cover the following topics:

1. Introduction to Entrepreneurship

- Nature and importance of entrepreneurship
- The entrepreneurial Mind-set
- Common myths about entrepreneurship

2. Innovation and Creativity including sources of Generating & Finding Business Ideas



COURSE OUTLINE

3. Creating and starting the venture

- Creativity, the business idea, and opportunity analysis

4. Intellectual property and other legal issues for entrepreneurs

5. Industry and competitor analysis

6. Writing a business plan

- Creating and starting the venture (business plan preparation)
- Procedure for starting a business in Ghana
- Financing and Banking (sources of capital)
- SME support organizations and projects in Ghana



COURSE OUTLINE

7. Managing and growing the venture

- Possible growth opportunities
- Challenges for business growth
- Going Global



RECOMMENDED BOOKS

- Bruce R. Barringer and R. Duane Ireland, 2016
Entrepreneurship: successfully launching New Ventures
- Robert D. Hisrich and Michael P. Peters 1998
Entrepreneurship Irwin/McGraw-Hill, 4th edition
- Jeffry A. Timmons and Stephen Spinelli, Jnr 2007
New Venture Creation: Entrepreneurship for the 21st Century, McGraw-Hill/ Irwin 7th Edition



KNUST RANKS NO.1 GLOBALLY FOR THE
PROVISION OF QUALITY EDUCATION (SDG 4)



LECTURE ONE

INTRODUCTION TO ENTREPRENEURSHIP



INTRODUCTION

- The most dominant questions often raised by individuals, students, academics and government officials are;

Who is an Entrepreneur?

What is entrepreneurship?

What is an entrepreneurial process?

- Answers to these questions remain largely differentiated depending on one's standpoint as either an economist, a psychologist, a businessman etc.
- However, the differing perspectives tend to centralize around certain behavior variables: *initiative taking, organizational ability, and acceptance of risk or failure*



DEFINITION OF ENTREPRENEURSHIP

- Entrepreneurship is the dynamic process of creating incremental wealth. The wealth is created by individuals who assume the major risks in terms of *equity*, *time*, and/or **career commitment** or provide value for some product or service.
- The product/service may or may not be new or unique, but value must somehow be infused by the Entrepreneur by receiving and locating the necessary skills and resources (*Ronstadt, 1984*)



DEFINITION OF ENTREPRENEURSHIP

- As working definition “ Entrepreneurship is the process of creating something new with value by devoting the necessary time and effort, assuming the accompanying financial, psychic, and social risks and receiving the resulting rewards of monetary and personal satisfaction and independence” (Hisrich et al.,1998)
- An *Entrepreneur* is the risk taker (as stated in the definition above) who assumes the financial, psychological and social risks in business start up , with the focus of obtaining monetary, personal satisfaction and independence.



Entrepreneurship is therefore

- A Judgemental decision under uncertainty about possible opportunity to make profit



CORPORATE ENTREPRENEURSHIP

- In this course, we focus on entrepreneurship in the context of an entrepreneur or team of entrepreneurs launching a new business
- However, ongoing firms can also behave entrepreneurially.
- Typically, established firms with an entrepreneurial emphasis are *proactive, innovative, and risk-taking*
- Firms with an orientation towards acting entrepreneurially practice *corporate entrepreneurship*.
- Hence, firms fall along a conceptual continuum that ranges from *highly conservative to highly entrepreneurial*.



CORPORATE ENTREPRENEURSHIP

- The position of a firm on this continuum is referred to as its *entrepreneurial intensity*. As we mentioned previously, entrepreneurial firms are typically proactive innovators and are not averse to taking calculated risks.
- In contrast, *conservative firms* take more of a "wait and see" posture, are less innovative, and are risk averse.



CORPORATE ENTREPRENEURSHIP

- Firms with higher entrepreneurial intensity regularly look for ways to cut bureaucracy.
- For example, Virgin Group, the large British conglomerate, works hard to keep its units small and instill in them an entrepreneurial spirit.
- Virgin is one of the most recognized brands in Britain and is involved in businesses as diverse as airlines and music.
- In the following quote, Sir Richard Branson, the founder and CEO of Virgin, describes how his company operates in an entrepreneurial manner:



CORPORATE ENTREPRENEURSHIP

- *Convention ... dictates that "big is beautiful," but every time one of our ventures gets too big we divide it up into smaller units. I go to the deputy managing director, the deputy sales director, and the deputy marketing director and say. "Congratulations. You're now MD (managing director), sales director and marketing director of a new company." Each time we've done this, the people involved haven't had much more work to do, but necessarily they have a greater incentive to perform and a greater zeal for their work. The results for us have been terrific. By the time, we sold Virgin Music, we had as many as 50 subsidiary record companies, and not one of them had more than 60 employees.*



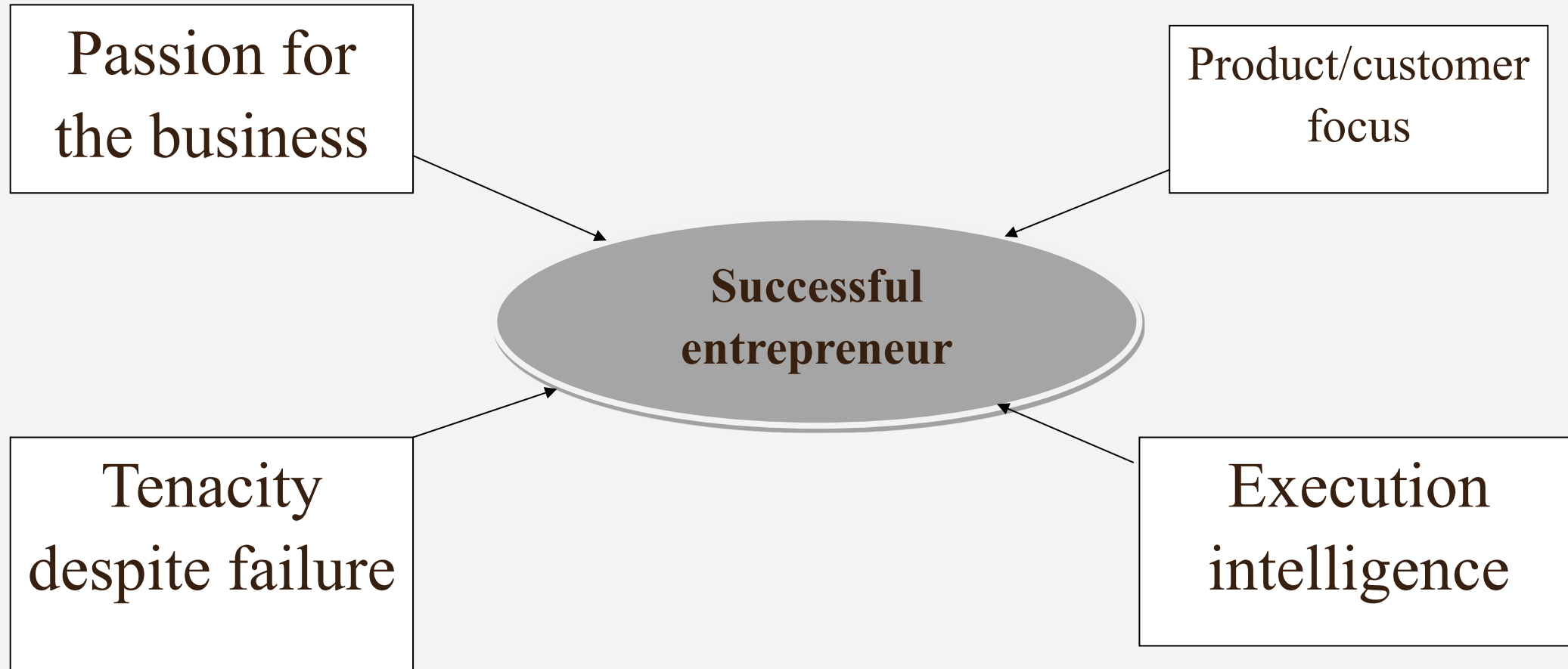
NATURE OF ENTREPRENEURSHIP

Nature of entrepreneurship

- **The act of creating something new of value**
 - ✓ Value to the entrepreneur herself
 - ✓ Value to the audience for which the product or service is developed
- **The devotion of necessary time and effort**
- **The rewards of being an entrepreneur**
 - ✓ Personal satisfaction
 - ✓ Independence and social status (employer not employee)
 - ✓ Monetary rewards in the case of profit motive entrepreneurs
- **Assuming the necessary risks**
 - ✓ Action in the face of uncertainty
 - ✓ Action enhanced by novelty intrinsic to the entrepreneurial action



CHARACTERISTICS OF SUCCESSFUL ENTREPRENEURS



CHARACTERISTICS OF SUCCESSFUL ENTREPRENEURS

- **Passion for the Business**
 - **The number one characteristic** shared by successful entrepreneurs is a passion for the business.
 - This passion typically stems from the entrepreneur's belief that the business will positively influence people's lives.
- **Product/Customer Focus**
 - A second defining characteristic of successful entrepreneurs is a product/customer focus.
 - An entrepreneur's keen focus on products and customers typically stems from the fact that most entrepreneurs are, at heart, craftspeople.



CHARACTERISTICS OF SUCCESSFUL ENTREPRENEURS

■ **Tenacity Despite Failure**

- Because entrepreneurs are typically trying something new, the failure rate is naturally high.
- A defining characteristic for successful entrepreneurs is their ability to persevere through setbacks and failures.

■ **Execution Intelligence**

- The ability to fashion a solid business idea into a viable business is a key characteristic of successful entrepreneurs.



WHY DO PEOPLE BECOME ENTREPRENEURS?

- The three primary reasons that people become entrepreneurs and start their own firms are to be their
 - Own bosses,
 - Pursue their own ideas, passion and
 - Realize financial rewards.



IMPORTANCE OF ENTREPRENEURSHIP/ENTREPRENEURS

1. Entrepreneurs Create New Businesses

- ✓ path breaking offerings by entrepreneurs, in the form of new goods & services, result in new employment, which can produce a cascading effect or virtuous circle in the economy
 - ✓ e.g. *few IT companies in the 1990s in Ghana resulted in the proliferation of programmers, call center operations, network maintenance companies, hardware providers, IT Education and training institutes, nurtured new class of IT workers etc.*



IMPORTANCE OF ENTREPRENEURSHIP/ENTREPRENEURS

2. Entrepreneurs Add to National Income

- ✓ Entrepreneurial ventures literally generate new wealth
- ✓ Existing businesses may remain confined to the scope of existing markets and may hit the ceiling in terms of income.
- ✓ **New** and **improved** offerings, products or technologies from entrepreneurs enable **new markets** to be developed and **new wealth** created.
- ✓ the cascading effect of increased employment and higher earnings contribute to better national income in the form of higher tax revenue and higher government spending and overall (aggregate spending)



IMPORTANCE OF ENTREPRENEURSHIP/ENTREPRENEURS

3. Entrepreneurs Also Create Social Change

➤ unique offerings of new goods and services support freedom through the concept of “**creative destruction**” Overall, this results in an improved quality of life, greater morale and economic freedom.

- ✓ E.g. the water supply in a water-scarce region will force people to stop working to collect water.
- ✓ This will impact their business, productivity and income.



IMPORTANCE OF ENTREPRENEURSHIP/ENTREPRENEURS

4. Contribution to Community Development

- Entrepreneurs regularly nurture entrepreneurial ventures created by other like-minded individuals.
- They also invest in community projects and provide financial support to local charities.
- This enables further development beyond their own ventures.
 - ✓ e.g. famous entrepreneurs, like Bill Gates, have used their money to finance good courses, from education to public health



THE ENTREPRENEURIAL PROCESS

An Entrepreneur must find, evaluate and develop an opportunity by overcoming the forces that resist the creation of something new. The process has four 4 phases:

1. Identification and evaluation of the opportunity/idea
2. Development of the business plan
3. Determination of the required resources
4. Management of the resulting enterprise



1. IDENTIFICATION AND EVALUATION OF THE OPPORTUNITY

1. (a)

Sources of identifying opportunities:

- Consumers
- business partners
- Members of the distribution system
- Technical people (e.g. inventors)
- Work experience that trigger conceptualization
- Technological changes
- Change in govt policy and social trends

Whatever the source of the business opportunity may be, evaluation of the opportunity is perhaps the most critical thing;



1. IDENTIFICATION AND EVALUATION OF THE OPPORTUNITY

1(b)

Evaluation of a business opportunity requires answering the following questions:

- What market need does it fill?
- What personal observations have you experienced or recorded with regards to that market need?
- What social condition underlies this market need?
- What market research data can be gathered to describe this market need?
- what competition exist in this market?
- Where is the money to be made in this activity?



2. Development of the business plan

- ❑ A written document that describes all the relevant external and internal elements and strategies in starting a new venture
- It is often an integration of functional plans
finance, marketing, operations/production, and human resource
- The business plan answers the following questions;
Where am I ?
Where am I going to ?
How will I get there ?



3. Determine the Resources Required

- ❑ Appraisal of the entrepreneur's present resources
 - identify critical resources
 - Acquiring the needed resources in timely manner
 - The entrepreneur should strive to maintain as large an ownership position as possible particularly in the start up stage
 - As the enterprise grows, more funds will probably be needed to finance the growth of the venture requiring more ownership to be relinquished
 - Identify alternative suppliers of the critical resources/inputs in order to widen choices and minimize cost of disappointments



4. Manage the Enterprise

- After acquiring the resources, the entrepreneur must use them to implement the business plan
- This involves implementing a management style and structure as well as determining the key variables for success (Critical Success Factors)
- Build control system to quickly identify problems and resolve them.



THE ENTREPRENEURIAL MIND-SET

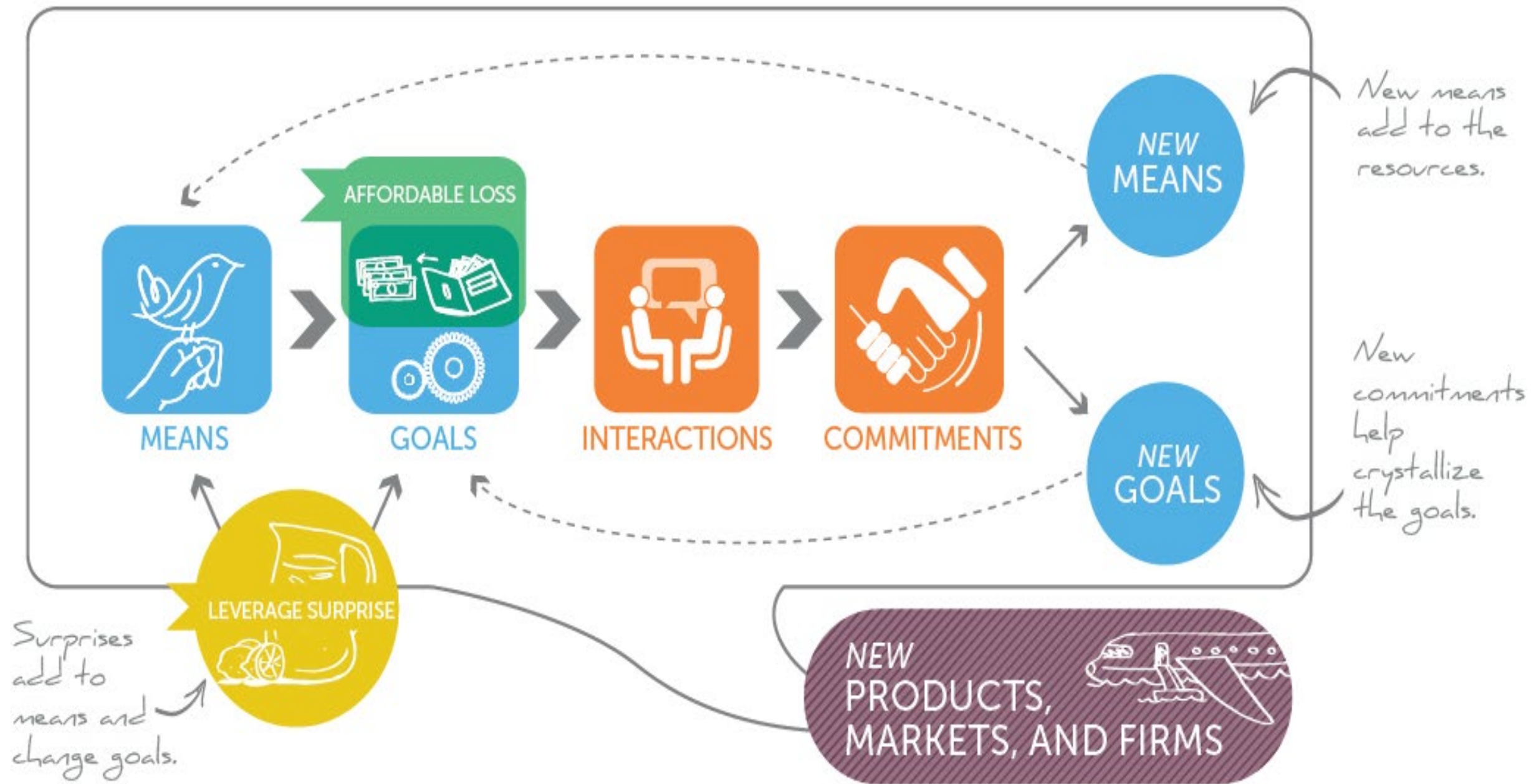
- Because entrepreneurial decisions are made in an environment characterized by uncertainty, one's entrepreneurial aptitude is largely defined by his/her ability to
 - *Effectuate, (engender, generate, induce, effect)*
 - *Be cognitively adaptable,*
 - *Learn and survive from failure.*



The Entrepreneurial Mind-set

- 1. *Effectuation* is a way of thinking and decision-making that helps entrepreneurs start a business with the resources they already have, instead of waiting for the perfect plan or opportunity.





The cycle always starts here



MEANS



GOALS



The individual begins with an inventory of his/her means, from which s/he imagines goals. The goals s/he chooses to pursue are within his/her affordable loss. Goal construction and goal achievement are different sides to the same coin.

Next, interact with people
to gather stakeholder commitments



INTERACTIONS



COMMITMENTS



Next, interactions drive the process of enlisting others to join in co-creating the new venture. Committed stakeholders will influence the entrepreneur by morphing and appending the original idea into one that a whole network of stakeholders are committed to.

Putting it all together...

The cycle continues as the effectual entrepreneur grows closer and closer to a defined, sellable product(s), complete with committed customers and stakeholders comprising the new market.

The Entrepreneurial Mind-set

EFFECTUATION

❑ Entrepreneurs largely use an effectuation process. Which means they use

❑ what they have= (who they are + what they know + whom they know)

❑ and select among possible outcomes.



The Entrepreneurial Mind-set

Principles of effectuation

- The patchwork quilt principle
- The affordable loss principle
- The bird-in-hand principle
- The lemonade principle
- The pilot-in-the-plane principle



Patchwork Quilt {form partnerships }

- Expert entrepreneurs build partnerships with self-selecting stakeholders.
- By obtaining pre-commitments from key partners early on in the venture,
- They reduce uncertainty and co-create the new market with its interested participants



The affordable loss principle {focus on the downside risk }

➤ This principle prescribes committing in advance to what one is willing to lose rather than concentrating on the calculations about expected returns to the investment

➤ E.g. what is acceptable loss depends on the entrepreneur's current financial condition and psychological preparedness to bear a certain loss level. The entrepreneur should experiment in the environment of uncertainty but with a known maximum loss level.



2. Affordable Loss Principle - Set affordable loss

- Evaluate opportunities based on whether the *downside is acceptable*, rather than on the *attractiveness of the predicted upside*.



The bird-in-hand principle {start with your means}

Create opportunities and perform actions based on the resources available here and now by asking:

- Who am I?
- What do I know?
- Who do I know?

i.e.

Who am I + what I know + whom I know
= **WHAT I HAVE**



➤ *A bird in hand is worth two in the bush*



The lemonade principle {leverage contingencies }

- This principle prescribes leveraging surprises for benefit rather than trying to avoid them, overcome them or adapt them.
- In other words, try and overcome threats with opportunities.
- If you come across a lemon, make lemonade out of it.
- It is possible to look at the flip side of most threats to find or generate opportunities



The pilot-in-the-plane principle { control v. predict}

- By focusing on activities within their control, expert entrepreneurs know their actions will result in the desired outcomes.
- An effectual worldview is rooted in the belief that the future is neither found nor predicted, but rather made.



The Entrepreneurial Mind-set

- ❑ In summary, all the above principles enable entrepreneurs to put themselves in control of their ventures:
- Not relying on some preprogrammed flight plan
- Hence, entrepreneurs should not only navigate the entrepreneurial environment but also appreciate its dynamism and exploit unexpected events



The Entrepreneurial Mind-set

2. COGNITIVE ADAPTABILITY

- Describes the extent to which entrepreneurs are dynamic, flexible, self-regulating and engaged in the process of generating multiple decision frameworks focused on sensing and processing change in the environment and then acting on them.
- E.G. generating
 - Comprehension questions (what do I want to achieve with the creation of this firm?)
 - Connection questions (how is this problem similar to other problems I have solved before?)
 - Strategic questions (what strategy/tactic can I use to solve this problem?)
 - Reflection questions (generating your own feedback: what am I doing?, does it make sense? etc.)



The Entrepreneurial Mind-set

3. ABILITY TO LEARN FROM FAILURE

- **Loss orientation:** an approach to grief recovery that involves working through, and processing some aspect of the loss experience and, as a result of this , breaking emotional bonds to the object lost
- **Restoration orientation:** an approach to grief recovery based on both avoidance and proactiveness toward secondary sources of stress
 - E.g. joining the unemployment line, selling the house, requiring the children to change school, answering the ‘why’ questions



Common Myths About Entrepreneurs

■ **Myth 1: Entrepreneurs Are Born, Not Made**

- This myth is based on the mistaken belief that some people are genetically predisposed to be entrepreneurs.
- Result of hundreds of studies on the psychological and sociological makeup of entrepreneurs is that entrepreneurs are not genetically different from other people
- Whether someone does or doesn't is a function of the environment, life experiences, and personal choices.
- However, studies indicate that people with parents who were self-employed or had direct observation of other entrepreneurs are likely to become entrepreneurs.



Myth 2: Entrepreneurs Are Gamblers

- A second myth about entrepreneurs is that they are gamblers and take big risks.
- The truth is, entrepreneurs are usually **moderate risk takers**, as are most people.
- This finding is affirmed by The Hartford's 2013 Small Business Success Study.
- The study conducted a survey of 2,600 business owners. A total of 79 percent of the participants rated themselves as conservative rather than risky.



Myth 3: Entrepreneurs Are Motivated Primarily by Money

- What is your view?



Myth 4: Entrepreneurs Should Be Young and Energetic

- Entrepreneurial activity is fairly evenly spread out over age ranges (Kauffman Foundation and LegalZoom, 2012)
- It is important to be energetic
- Investors often cite the **strength** of the entrepreneur (or team of entrepreneurs) as their most important criterion in the decision to fund new ventures.
- In fact, venture capitalists often express that they would rather fund a strong entrepreneur with **a mediocre business idea than fund a strong business idea and a mediocre entrepreneur.**
- What makes an entrepreneur "strong" in the eyes of an investor is **experience in the area of the proposed business, skills and abilities that will help the business, a solid reputation, a track record of success, and passion about the business idea.**

The first 4 of these 5 qualities favor older rather than younger entrepreneurs.



Myth 5: Entrepreneurs Love the Spotlight

- What do you think?



ANY QUESTION?



THANK YOU

Kwame Nkrumah University of Science and Technology, Kumasi | Leaders In Change

Visit us at  www.knust.edu.gh

 uro@knust.edu.gh

Follow KNUST on:

